

What role are the India based startups playing in the field of electronics, semi-conductors, and components?

Technology is fast becoming a crucial component of our daily lives. New mass user cases are emerging for electronics; take for example electronics like smart bulbs, voice command enabled devices, smart refrigerators and aircons, and touchless technology that are all slowly starting to become a household requirement. Most new applications from startups today are quite innovative in resolving our everyday problems using technology.

Electronics are made up of two parts—hardware and software. While India has always been a champion in software, we are now starting to improve and innovate on the hardware front as well. I see that this trend in hardware will only grow in the coming years, wherein electronic hardware development will lead the local eco-system to thrive.

When it comes to ability and agility to innovate in electronics hardware, I see startups in a much better position than existing companies. This is because startups fail and adapt faster and are more able to keep pace with the rate of innovation required in the market.

Why does Infineon work with startups?

We collaborate with startups with mutual agreement to learn from one another. We want to work with startups because they carry out a significant amount of disruptive innovation. They are looking sideways or two steps ahead of where the corporations are focusing on today. They give us a peek into a possible future and help us to see beyond and to stay agile.

While we learn about future technology trends that might be possible, startups gain insights into our extensive business network and manufacturing and system knowledge. We encourage our startup partners to design-in our semiconductors in their products so we can provide the best support in bringing their products to market.

What's in it for startups to work with Infineon?

Infineon is actively looking to partner with startups in the areas of energy efficiency, mobility, big data and artificial intelligence (AI), connectivity and security. We provide all-round support to the startups we partner with. Right from co-creation with our application engineering teams to validation of the startup products, introduction to customers, coaching, and to top it

all, we also assist in recommendation to VCs for financing for some of them. Startups may have path-breaking ideas but we help them realise the potential in any or all of the above forms, depending on the partnership.

There are a variety of challenges that startups face, and most of these challenges arise when they start implementing concepts into real world applications. We use the expertise in semiconductor technology, as well as our large product portfolio, to help them.

IF NON-DISCLOSURE AGREEMENT (NDA) EXECUTION IS NOT FEASIBLE DUE TO REFUSAL FROM THE PARTNER COMPANY, I SUGGEST THE STARTUP SHOULD THEN SIMPLY MOVE AHEAD AND LOOK FOR ANOTHER POTENTIAL INDUSTRY PARTNER.

Some startups fear losing IPs and secrets while working with big names. Do you think this fear is genuine?

I can understand the fear startups may feel while approaching large organisations with their ideas and product details; the fear of losing one's core idea or ending up not being the first in the market. In case such a scenario comes true wherein the idea is stolen, the startup may find it difficult to fight against a big organisation with their limited resources.

However, in the case of Infineon, this fear is not relevant since we choose to work with startups that are at a 'system level' and not potential competitors.

What's your advice to startups fearing the same?

Like I mentioned before, this fear is not relevant to Infineon. In fact, we encourage startups to not share their IP or core of the product in the early stages of partnering with us. This is

a general advice I like to give to every startup for their industry engagement. They should refrain from sharing confidential information.

One does not need to share every detail in the first conversation. You must first gauge the other party's interest in your product theme, and then proceed. In the event any confidential information needs to be disclosed, always ensure that a non-disclosure agreement (NDA) is executed between the parties before any disclosure.

But do large organisations sign non-disclosure agreements?

Yes, in fact signing NDAs is a common business practice among large organisations before companies embark on any proprietary information sharing.

In clear terms, an NDA is necessary at a stage where a startup is required to share any information which is not intended for the public domain. It may be a business proposal, idea, technical information, trade secret, patent information, etc. If NDA execution is not feasible due to refusal from the partner company, I suggest the startup should then simply move ahead and look for another potential industry partner.

Can the government play a role in helping overcome this fear?

Yes, I think there is a possibility to set up a central organisation to help startups with legal processes at nominal rates, as working with a law firm can be a costly affair in our country. This organisation, through associations or initiatives like Startup India, can conduct regular sessions around the know-hows of the startup ecosystem. If startups are made aware of legal procedures to help safeguard their interests, they will stand a better chance to be successful in the industry, and this fear of plagiarism can be mitigated.

Does Infineon fund startups?

That is never our primary aim. If someone needs funding, they can always go to venture investment firms. Infineon is a product company, and we focus on co-creation with our application engineering teams, validation of the startup products, introduction to customers, and coaching.

We do not have an objective of funding, but in those rare cases where we believe a startup to be of strategic interest to Infineon with the possibility of a long-lasting relationship through investing, we might fund, but that as I said is a rare thing. **EFY**